Loans

Loans offer a fixed sum of money to be repaid, plus interest, over a fixed period of time. Personal loans can be used at the borrower's discretion but some other loan types have a defined purpose.

How it works

Loans allow individuals to borrow a lump sum to use in the short term, which they then repay in installments at set intervals over an agreed longer-term period. For example, a person might borrow $10,000 to be repaid over five years. As well as repaying the capital, the borrower also pays interest on the loan. Periodic repayments are calculated so that the borrower repays some of the capital and some of the interest with each payment.

Loans can be used as a cheaper alternative to other borrowing facilities such as overdrafts and credit cards. If a loan is "secured" on an asset (such as a house), and the loan is not repaid on time, the lender is entitled to take the asset. Typically a secured loan is less expensive to the borrower than an unsecured loan. A mortgage is a type of secured loan used to buy a property without paying the entire value of the purchase up front.

Various institutions including banks, payday lenders, credit unions, supermarkets, and peer-to-peer lenders sell loans. Loan brokers may also offer loans from a range of different providers.

5,583%

APR of UK payday loan company Wonga before new rules applied in 2014

NEED TO KNOW

- **APR (Annual Percentage Rate)** The annual rate of interest payable (on loans), taking into account other charges.
- **AER (Annual Equivalent Rate)** Used for savings accounts, the AER takes into account how often interest is paid, as well as the impact of compound interest.

WARNING

Payday loans are designed to cover short-term financial shortfalls. The idea is that people repay the debt on their next payday. Customers typically pay around a $15 fee for every $100 borrowed. A two-week loan equals an APR of 400%. They are also charged fees for missed payments or to extend the loan.

CASE STUDY

Loan repayments

For loans with a fixed monthly repayment of principal plus interest, payments will first consist mainly of interest. This is because the amount of interest paid each month is a percentage of the outstanding balance of the loan. As each payment also repays some of the principal, the outstanding balance (and interest) decreases each month while more of the payment goes to reducing the loan. Final payments will consist of a larger proportion of principal to interest (as interest is paid on ever smaller outstanding balances).